

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (22 @ 3 points each) _____ (66 points)

TOTAL POINTS _____ (126 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.
Example: Use 2.3% NOT 2%
Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).
Example: \$35.9765 to \$35.98

Multiple Choice: Select the letter that *best* answers the question.

1. Which of the following types of stock will pay dividends first?
 - a. Treasury
 - b. Common
 - c. Preferred
 - d. Options
2. If you are risk averse, what would be your most likely choice as an investment?
 - a. Treasury bill
 - b. Stock of small cap company
 - c. Junk bond
 - d. Stock of large cap company
3. When comparing a 30-year mortgage with a 15-year mortgage for the same principal, what is true of the monthly payment amount and the total interest paid on the 30-year loan?
 - a. lower monthly payment and lower total interest.
 - b. lower monthly payment and higher total interest.
 - c. higher monthly payment and lower total interest.
 - d. higher monthly payment and higher total interest paid.
4. You invest \$2,500 into a mutual fund with a 4% deferred load. The amount of commission you will pay when you buy into the fund will be _____.
 - a. \$ 0.00
 - b. \$ 100.00
 - c. \$2,500.00
 - d. \$2,600.00
5. Which of the C's of credit refers to a person's ability to repay the debt?
 - a. Capital
 - b. Collateral
 - c. Character
 - d. Capacity
6. Who pays Social Security tax on the earnings of an employee?
 - a. Employee only
 - b. Employer only
 - c. Both the employee and the employer
 - d. Neither the employee nor the employer

7. The APR shown on a credit card policy statement refers to the effective interest rate over what period of time?
 - a. 1 month
 - b. 1 quarter
 - c. 6 months
 - d. 1 year
8. Which of the following represents the correct order, from beginning to end, of items on a Form 1040?
 - a. Taxable Income, AGI, Total Income
 - b. AGI, Total Income, Taxable Income
 - c. Total Income, Taxable Income, AGI
 - d. Total Income, AGI, Taxable Income
9. What retirement plan typically includes a company match?
 - a. Traditional IRA
 - b. Roth IRA
 - c. 401 (k)
 - d. 403 (b)
10. If you wanted to invest into blue chip companies, which mutual fund would most likely satisfy that requirement?
 - a. Small-cap growth
 - b. Mid-cap growth
 - c. Mid-cap value
 - d. Large-cap value
11. The specified amount of payment required periodically by an insurer to provide coverage is known as a _____.
 - a. deductible.
 - b. coverage.
 - c. premium.
 - d. policy.
12. If you sell a stock for more money than you bought it for, how would that be categorized on an income tax return?
 - a. dividends.
 - b. capital gains.
 - c. ordinary income.
 - d. Interest.
13. The NAV of a mutual fund is the _____.
 - a. composition of the mutual fund
 - b. price of one share of the mutual fund
 - c. average annual return for the mutual fund
 - d. category of the mutual fund

14. A storm causes \$2,300 worth of damage to your house. Your insurance policy has a monthly premium of \$200 and a deductible of \$1,000. How much will you pay to repair the damage?
- a. \$ 0
 - b. \$ 200
 - c. \$1,000
 - d. \$2,300
15. What type of investments would a mutual fund categorized as an income fund most likely buy?
- a. Bonds
 - b. Domestic stocks
 - c. International stocks
 - d. Certificates of deposits
16. What is the meaning of tax deferred?
- a. Never pay taxes
 - b. Pay taxes only if you are a dependent.
 - c. Taxes will be paid later
 - d. Taxes are optional
17. You sell a stock for 62.60 per share, realizing a gain of 4.3% on your investment. What price did you purchase the stock for?
- a. 60.02
 - b. 60.10
 - c. 65.29
 - d. 87.83
18. How many compounding periods would there be for a 4-year CD, with interest compounded quarterly?
- a. 4
 - b. 16
 - c. 32
 - d. 48
19. What type of insurance do most states require a driver to purchase?
- a. Comprehensive
 - b. Collision
 - c. Contents
 - d. Liability

20. Which of the following would most likely pay the highest auto insurance?
- 18-year old male
 - 18-year old female
 - 30-year old male
 - 30-year old female
21. While researching a stock you find the following data on a company: 2021 Net Income After Tax \$2.7 million; December 31, 2021 Price per share \$45.90; 1.2 million shares outstanding. What is the EPS at the end of 2021?
- \$0.44
 - \$2.25
 - \$17.00
 - \$20.40
22. What is a primary advantage of investing in a mutual fund?
- Fees
 - You choose the stocks you invest in
 - Tax implications
 - Diversification
23. A hail storm damages your vehicle. Which type of insurance would cover the damage?
- Comprehensive
 - Collision
 - Liability
 - Uninsured Motorist
24. You borrow \$750 for three years at an APR of 5.5%. Assuming simple interest, how much will you pay back upon maturity?
- \$ 41.25
 - \$123.75
 - \$791.25
 - \$873.75
25. Which retirement account has been phased out recently by most corporations?
- Pension
 - 401 (k)
 - 403 (b)
 - IRA
26. What is true about the 1st payment of a fixed mortgage?
- The amount of interest will be equal to the amount of principal.
 - The amount of interest will be more than the amount of principal.
 - The amount of interest will be less than the amount of principal.
 - The entire payment will go towards the principal.

27. The process by which an employee with a qualified retirement plan becomes entitled to the money within that plan is known as _____.
a. contributing
b. withdrawing
c. vesting
d. accruing
28. Which of the following is not subject to federal income tax?
a. Tips a server receives
b. Interest on a Certificate of Deposit
c. Capital Gains
d. Interest on a municipal bond.
29. Which of the following would fall under discretionary income within a budget?
a. Tickets to a concert
b. Car loan payment
c. Electrical bill
d. Lunch at a fast-food restaurant.
30. What is a legal document that contains detailed information about an investment?
a. Promissory Note
b. Profile
c. Prospectus
d. Annual Report

Application Knowledge – Read each problem and answer the questions in the space provided.
(3 points each)

1. On March 4th, Regan Carlson signed a promissory note at her bank for \$3,400. The terms of the note are 90 days at 5.75% interest.
 - a. How much will Regan pay on March 4th for the note? _____
 - b. What will be the interest on the note? _____
 - c. How much will Regan pay back on the maturity date? _____
 - d. On what day is the note due? _____

2. Steven Kim invested \$5,000 into a Certificate of Deposit on March 1st, 2022. The CD is a 6-month CD that pays compounds interest monthly, with an APR of 3.1%. Find the interest earned for each month and the value of the CD at the end of its term.
 - a. Interest for March _____
 - b. Interest for April _____
 - c. Interest for May _____
 - d. Interest for June _____
 - e. Interest for July _____
 - f. Interest for August _____
 - g. Maturity Value _____

3. Jack Arenado works as a programmer for a Fortune 500 company. His current salary is \$84,750. His tax rate is 34%. Jack has 3% of his salary deposited into a 401(k) program that includes a 50% company match, and has necessary monthly expenses of \$3,800.
 - a. If Jack is paid semi-monthly, what is his net pay per paycheck? _____
 - b. What is the total amount deposited monthly into the 401(k) program? _____
 - c. How much more can Jack spend monthly if his goal is to save \$200? _____
 - d. Assuming Jack receives a 4% increase in salary this year, and all other parameters stay the same, what will be his corresponding percentage increase in net pay? _____

4. Madi Bader owns 40 shares of Cardinal Inc common stock, which is trading for \$180.60 at the close of trading on March 4th, 2022. Cardinal Inc. executes a 2-for-1 stock split at the beginning of the trading day of March 5th, 2022. On March 15th, Cardinal Inc. declares a dividend of \$0.25 per share for all common stockholders.

- a. What is the value of Madi's investment on March 4th? _____
- b. What is the stock price after the split? _____
- c. What is the value of Madi's investment on March 5th? _____
- d. How much will Madi receive in dividends? _____

5. Sasha Martinez works in marketing research for Vintage Clothing Corp., making \$72,430 annually. Her 2021 Form 1040 shows taxable income of \$59,310. Use the 2021 tax brackets for single filers below to answer the questions that follow.

Taxable Income Bracket	Tax Rate
\$0 - \$9,950	10%
\$9,950 - \$40,525	12%
\$40,525 - \$86,375	22%

- a. What is Sasha's tax liability for 2021? _____
- b. If Sasha had \$11,567 in taxes withheld throughout 2021, will she receive a refund or have to pay more in taxes with her return? _____
- c. How much will this be? _____